

Article | 9 July 2026

COMMODITIES DAILY

The Commodities Feed: US-Iran ceasefire breakdown pushes oil higher

Fresh US strikes on Iran pushed oil higher this morning, with the latest escalation undermining confidence in the fragile ceasefire. Russia's ban on the export of diesel until the end of July adds to supply concerns



Energy – Russia bans diesel exports

The oil market has continued to rally as the ceasefire between the US and Iran appears to be on life support. ICE Brent settled 5.2% higher yesterday at a little over \$78/bbl, with further upside expected today following additional US strikes against Iran in response to its earlier attacks on several vessels navigating the Strait of Hormuz. President Trump said he considers the ceasefire with Iran to be over, while also threatening to reimpose a blockade on Iranian ports. This would be more impactful for oil markets than the recent revocation of a sanction waiver on Iranian oil. Iran has vowed to respond to these recent strikes, with reports that US military bases in the region will be targeted. Key for the oil outlook is whether the US and Iran are able to quickly de-escalate this latest rise in tensions.

The past few days' price action makes one thing clear: markets were far too relaxed about the risks surrounding the deal — and far too bullish on how quickly regional supply could rebound. Vessel tracking data shows that Strait of Hormuz tanker crossings declined to just 7 yesterday, the lowest level since 21 June. This compares to a daily average of 18 over the first

seven days of July. This data will not pick up tankers navigating the strait with their transponders turned off. The market will be watching whether these crossings rebound in the coming days — or whether rising tensions keep shipowners wary of navigating this critical energy choke point.

Adding to supply concerns in the oil market, and specifically in middle distillates, Russia announced a ban on the export of diesel until the end of July. This comes amid fuel shortages in the country following continued Ukrainian drone attacks on Russian refinery infrastructure. There has been plenty of noise in recent weeks that Russia was considering a ban, so this shouldn't come as too much of a surprise. However, the front-month ICE gasoil contract still surged almost 13% yesterday, while the crack is now trading above \$60/bbl. Russia is the globe's second largest diesel exporter. So, this move is significant for the market, although Russian diesel exports have come under significant pressure already due to the Ukrainian attacks.

The latest EIA data shows that US commercial crude oil inventories increased by 2.99m barrels over the last week. It's the first weekly increase in crude inventories since April. However, when taking into consideration SPR releases, total crude oil inventories fell by 3.17m barrels. There was more tightness in the refined product markets, with gasoline and distillate stocks falling by 1.9m barrels and 4.98m barrels, respectively. Stronger distillate exports helped pull inventories lower — and with Russia's diesel ban in place, demand for US barrels is set to rise even further.

Metals - Gold extends decline on inflation concerns

Gold fell for a third consecutive session, dropping below \$4,050/oz, after renewed US-Iran tensions fuelled concerns over higher energy prices and a potential resurgence in inflation.

While geopolitical uncertainty would typically support safe-haven demand, the market instead focused on the implications for US monetary policy. Rising oil prices could complicate the inflation outlook and reinforce expectations that the Federal Reserve keeps rates higher for longer. Higher yields and a firmer US dollar continued to weigh on the non-yielding metal.

Gold has now fallen more than 20% from its January record high as investors continue to trim exposure following a multi-year rally.

Markets will look to the Fed policy-meeting minutes for further policy clues. A retest of the \$4,000/oz level remains possible if liquidation continues. A sustained break lower would likely require higher real yields, a stronger dollar and further reductions in expectations for Fed easing.

Meanwhile, base metals were mixed amid renewed Middle East tensions. Copper fell more than 1% as weaker risk sentiment and concerns over the macro outlook weighed on growth-sensitive assets. Aluminium rose for a third consecutive session, supported by ongoing supply

concerns and declining inventories, with LME stocks falling to their lowest level since 2022. Looking ahead, copper is likely to remain driven by shifts in risk appetite and Fed expectations, while aluminium should continue to find support from tight physical market conditions.

Author

Warren Patterson

Head of Commodities Strategy
Warren.Patterson@asia.ing.com

Ewa Manthey

Commodities Strategist
ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.